Claim No. HT-2026-000087

IN THE HIGH COURT OF JUSTICE
BUSINESS AND PROPERTY COURTS OF ENGLAND AND WALES
TECHNOLOGY AND CONSTRUCTION COURT (KBD)

BETWEEN:

VERDANT ENERGY SYSTEMS LIMITED

Claimant

- and -

CALDERHALL CELLS LIMITED

Defendant

DEFENCE

References in this Defence to paragraphs are, unless otherwise stated, to the paragraphs of the Particulars of Claim.

1. Paragraphs 1 to 4 are admitted. The Defendant admits the making of the Cell Supply Agreement dated 22 May 2024 (the "Agreement") on the terms set out in the document, to which reference will be made at trial for its full terms and effect.

2. As to paragraph 5, the express terms pleaded are admitted save that the Defendant avers that the warranties at clause 6.1 are to be read together with, and are qualified by, clause 11 (limitation of liability) and clause 12 (acceptance and inspection), and that the Claimant's remedies for any non-conformity are limited to those in clause 9.

3. Paragraph 6 is denied. The Agreement contained an entire-agreement clause (clause 13.4) and the implied terms alleged are inconsistent with, and excluded by, the express terms, in particular clauses 6, 9 and 11. If, which is denied, any terms are to be implied, they were satisfied.

4. Paragraph 7 is admitted. Paragraph 8 is not admitted; the Claimant is put to proof of the manner of installation, integration and acceptance testing of the Goods.

5. As to paragraphs 9 to 13, the Defendant does not admit the test results pleaded and puts the Claimant to proof. If (which is denied) String B exhibited the behaviour alleged, the same was caused or contributed to by the Claimant's own integration, thermal management and commissioning of the modules, and not by any defect in manufacture. The Defendant's batch-release records show that all cells passed end-of-line testing and conformed to the Specification on delivery.

6. Paragraph 12 is denied. The Goods conformed to the warranties in clause 6.1 and were of satisfactory quality and fit for purpose. The Defendant relies on clause 12, by which the Goods were deemed accepted on the Claimant's failure to reject within the inspection period.

7. Paragraphs 14 and 15 are denied. Further or alternatively, the Defendant offered to inspect and, if appropriate, replace any genuinely non-conforming cells under clause 9, which offer the Claimant did not take up, instead procuring replacement cells from a third party.

8. As to paragraphs 16 to 19 (causation and loss), no admissions are made and the Claimant is put to strict proof of each head of loss. Further:

(a) by clause 11.1 the Defendant's aggregate liability is limited to the total charges paid under the Agreement, namely £2,940,000;

(b) by clause 11.2 the Defendant is not liable for any indirect or consequential loss, or for loss of profit, loss of revenue or liabilities to third parties, however arising; accordingly the liquidated damages said to have been paid to the Claimant's EPC counterparty (£640,000) and the alleged lost availability revenue (£284,000) are irrecoverable as a matter of construction; and

(c) the Claimant failed to mitigate its loss, in particular by failing to permit the Defendant to inspect and remedy under clause 9 and by procuring replacement cells at an unreasonable cost.

9. Save as expressly admitted, each and every allegation in the Particulars of Claim is denied as if set out and traversed individually.

STATEMENT OF TRUTH

The Defendant believes that the facts stated in this Defence are true. The Defendant understands that proceedings for contempt of court may be brought against anyone who makes, or causes to be made, a false statement in a document verified by a statement of truth without an honest belief in its truth.

Signed: .....

RENTON MADDOX LLP

4 Cloth Court, London EC1A 7LS. Ref: ER/SB/CAL-2210. Solicitors for the Defendant.
Dated: 18 June 2025